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Market Briefs Pro

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Good morning, Pro Briefers!

In late August 2025, the Federal Reserve held its annual Economic Policy Symposium.

Here, it discussed matters like employment, inflation, and most importantly, interest rates.

Regarding the latter, Federal Reserve Chairman Jerome Powell had this to say:

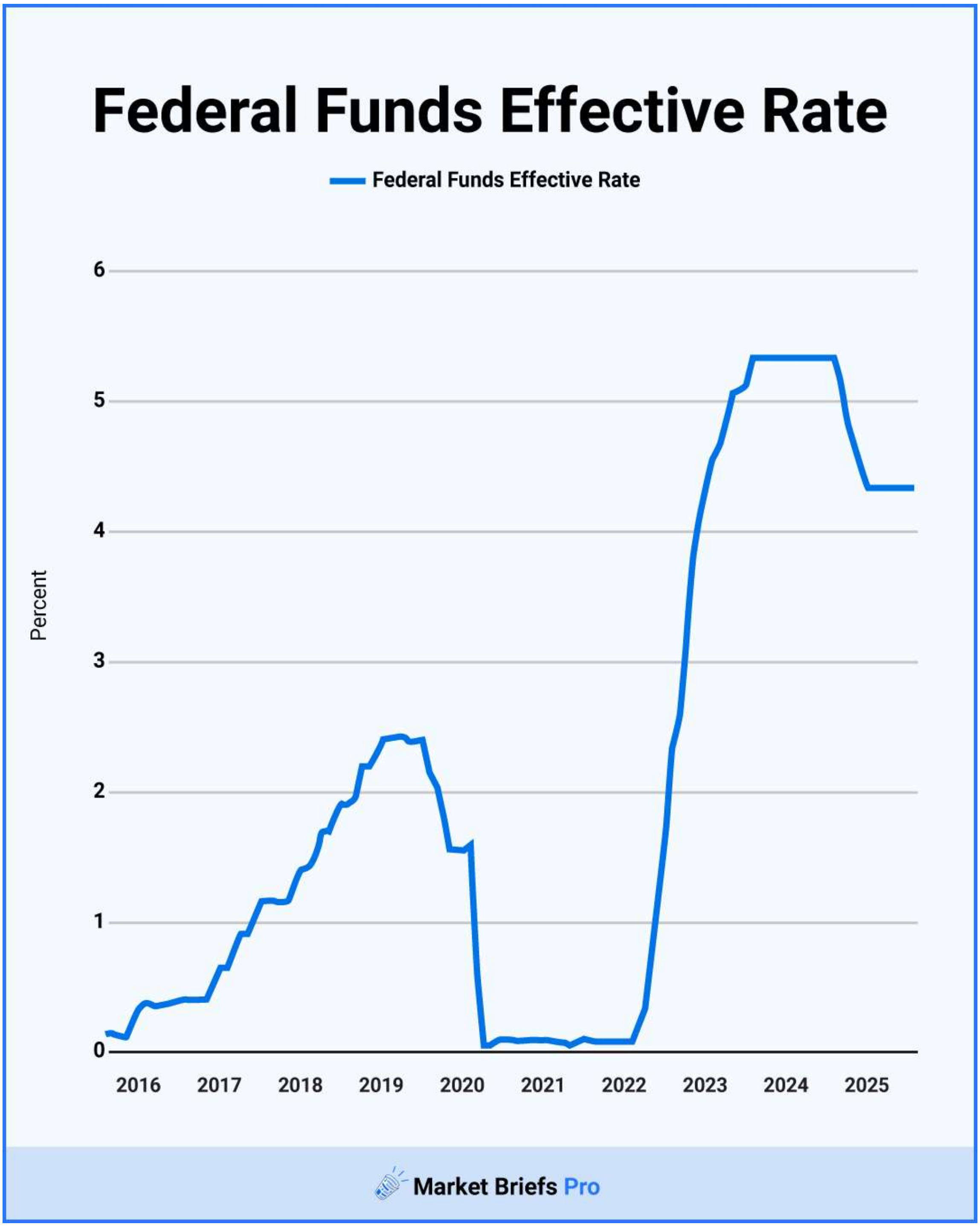
“With policy in restrictive territory, the baseline outlook and the shifting balance of risks may warrant adjusting our policy stance.”

This is creating what we have identified as a Broad Market Shift:

Lower interest rates make borrowing cheaper, which generally creates more spending in the housing, auto, and financial industries, leading to new investment opportunities for investors.

Let’s break down why investors may want to keep an eye on this shift - starting with some context.

Decoded. The Fed has signaled that its interest rates may be coming down soon.



Data via the Fed

In response to Powell, major indexes like the S&P 500, Dow, and Nasdaq all had one of their best days of 2025.

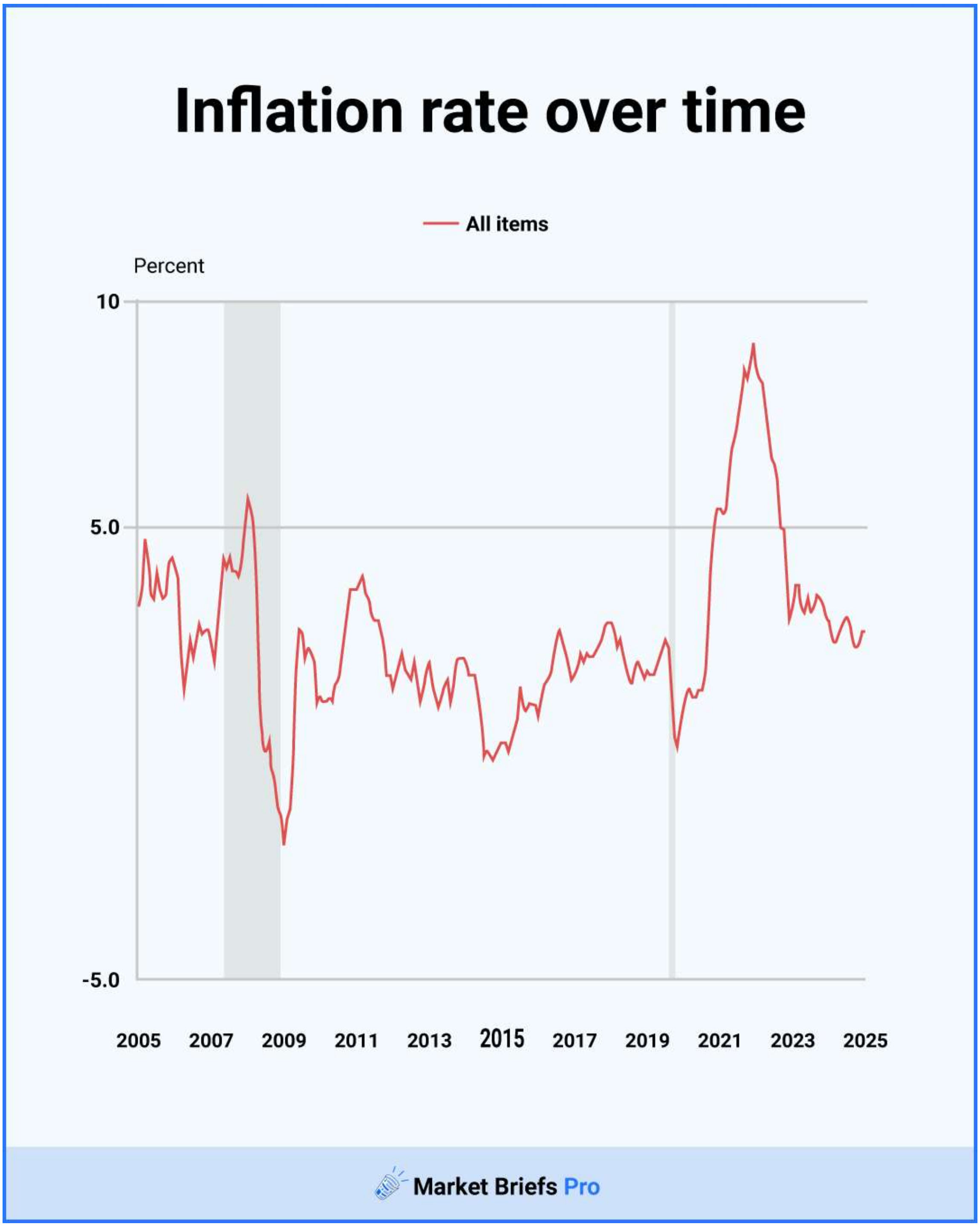
Why? *Fed rates falling = more spending.*

- It's easier for consumers, businesses, and investors to borrow money.

The Fed lowered its rates significantly in 2020 due to the pandemic-related recession.

What did that do? *Increase inflation.* Everything from eggs to houses increased in price during that time.

However, investors and businesses actually benefited from this.



Data via the BLS

- Major indexes like the Dow, S&P, and Nasdaq all reached a record high in 2021.

- Corporate profits increased by around 30% year-over-year on average for all S&P 500 companies.

When Fed interest rates increased in 2022, markets suffered their worst year since 2008.

Houses also went up in price during this time.

To learn more about this and the potential impact of future rate cuts from the Fed, we sat down with the Senior Economist at Zillow, Kara Ng.

She had this to say about the future of housing prices:

"In August 2025, 26% of sellers cut the price of their home. That means that sellers are now starting to meet buyers half-way."

Flashforward: 95% of investors on Wall Street are expecting the Fed to lower interest rates in September 2025.

Some companies will benefit more than others if rates fall - let's take a look at some of those companies that may soon become new opportunities for investors.

ANALYST TAKEAWAYS

Tickers we're tracking:

Mortgage loans: RKT
Auto loans: ALLY
Investment banks: JPM

We went deeper into the research - check out more details from this report here.

MORTGAGE LOANS

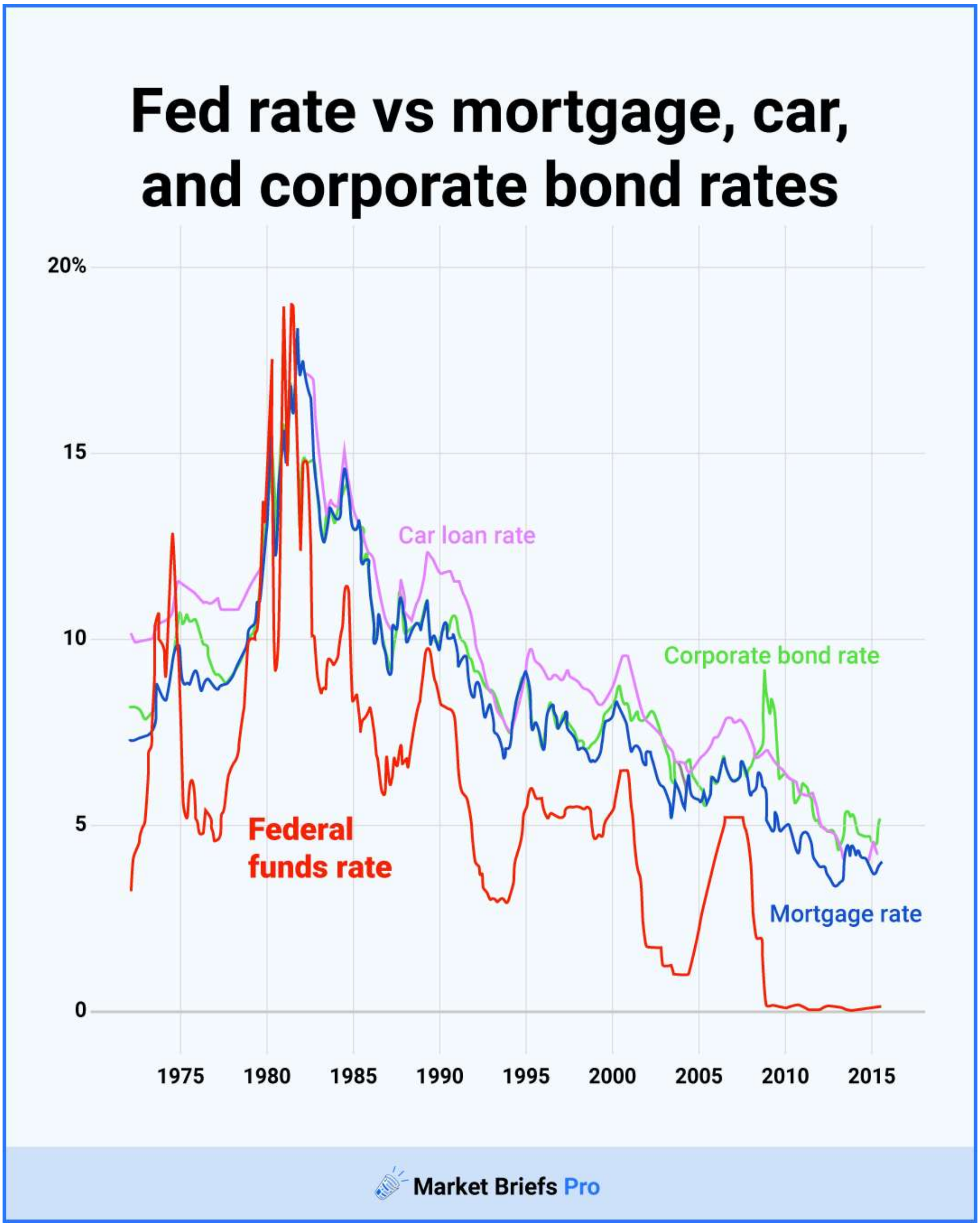
Loan Boom 2.0?

Low interest rates caused the housing market to boom in 2021.

- The average sales price of a home in the U.S. increased from $384,000 in Q4 2019 to $496,000 in Q4 2021, according to the Fed.

What happened? Mortgage rates are influenced by Fed interest rates - and with Fed rates dropping significantly, it meant more people could get a mortgage.

Lower rates meant more housing sales. But since 2022, the mortgage and housing market has largely frozen, partly due to rising Fed interest rates.



Data via the Fed

If rates from the Fed fall though, that could mean more people are able to get a mortgage and buy a house.

- According to Realtor.com, for every 1% the mortgage rates decrease, 5 million more people are able to afford a median home in the U.S.

In our interview with Kara Ng, she voiced the two major things that could get the housing market going in 2026:

"We need a combination of stronger demand and we need more supply of homes. What we need is both of those things to come back in order to have a healthy housing market."

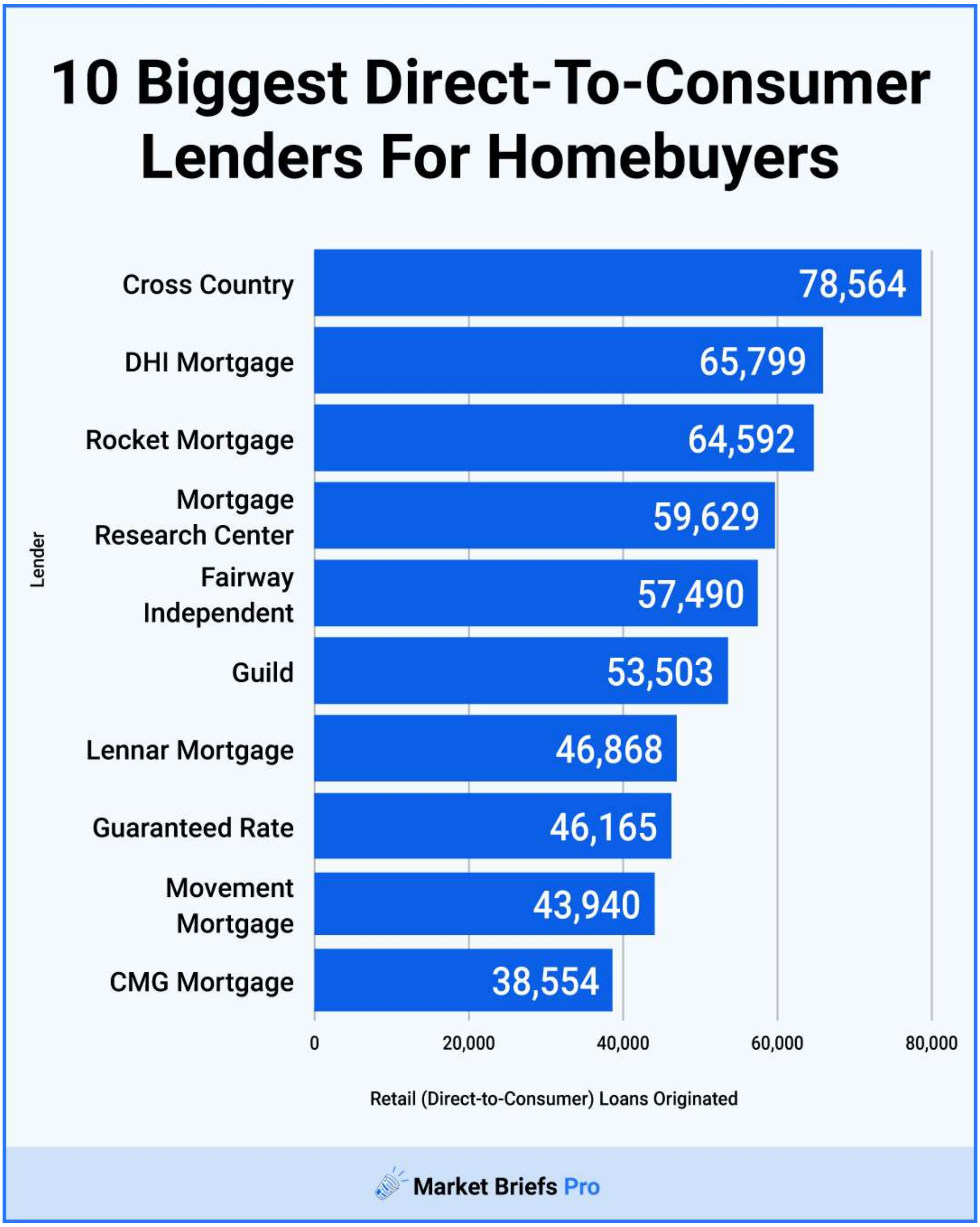
Bottom line: Companies in the mortgage business could see a huge boost in demand as a result.

Rocket Companies (RKT) is one of the largest mortgage loan originators in the country by total loan volume.

The company is basically in the business of mortgage lending - but everything is digital.

- 72% of Americans begin the mortgage process online, according to Argyle.

No branches means Rocket saves money on overhead fees that traditional banks sometimes have.



Data via Mortgage Research Network - data as of 2024

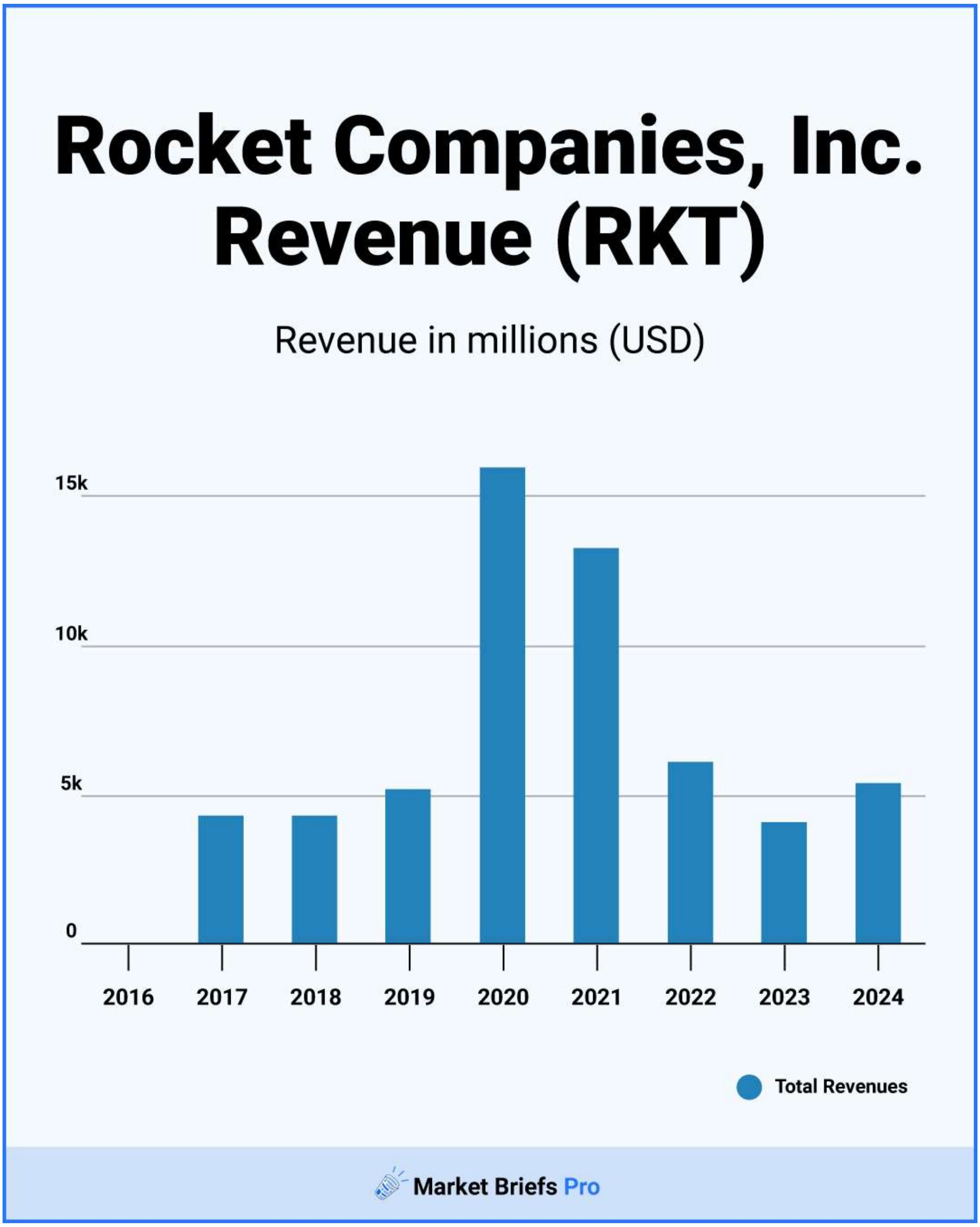
Rocket also controls around 6% of the total mortgage market today, as it originated over 64,000 mortgages in 2024 worth $101 billion.

- Its market share has increased from 5% in 2023 - but its overall originations are down from its record of $351 billion in 2022.

Lower rates could help take Rocket back to the top and its CEO stated in August 2025 that it would be an "opportunity" for the company.

That's partly because Rocket has switched up a major part of its business in recent years.

Rocket is in the process of originating and servicing its loans, saying it has the capacity to service every 1 in 6 mortgages in America without adding fixed costs.



Data via company 10-K

In short - it wants to sell and manage more of its loans, keeping its customers at Rocket, instead of selling the loans to another loan company.

Lower rates also give current homeowners the potential to refinance their mortgages, which Rocket may be able to capitalize on.

- Realtor.com estimates that roughly 20% of homeowners have a mortgage above 6% in 2025.

Rocket has seen its revenue fall alongside rising rates - it earned just $5.1 billion in 2024, down from $15.7 billion in 2020.

Lower rates could kick-start Rocket's business back in gear as one of the largest mortgage lenders in the nation, as demand for mortgages heats up.

Data via Yahoo! Finance

AUTO LOANS

Auto Lending Revs Up

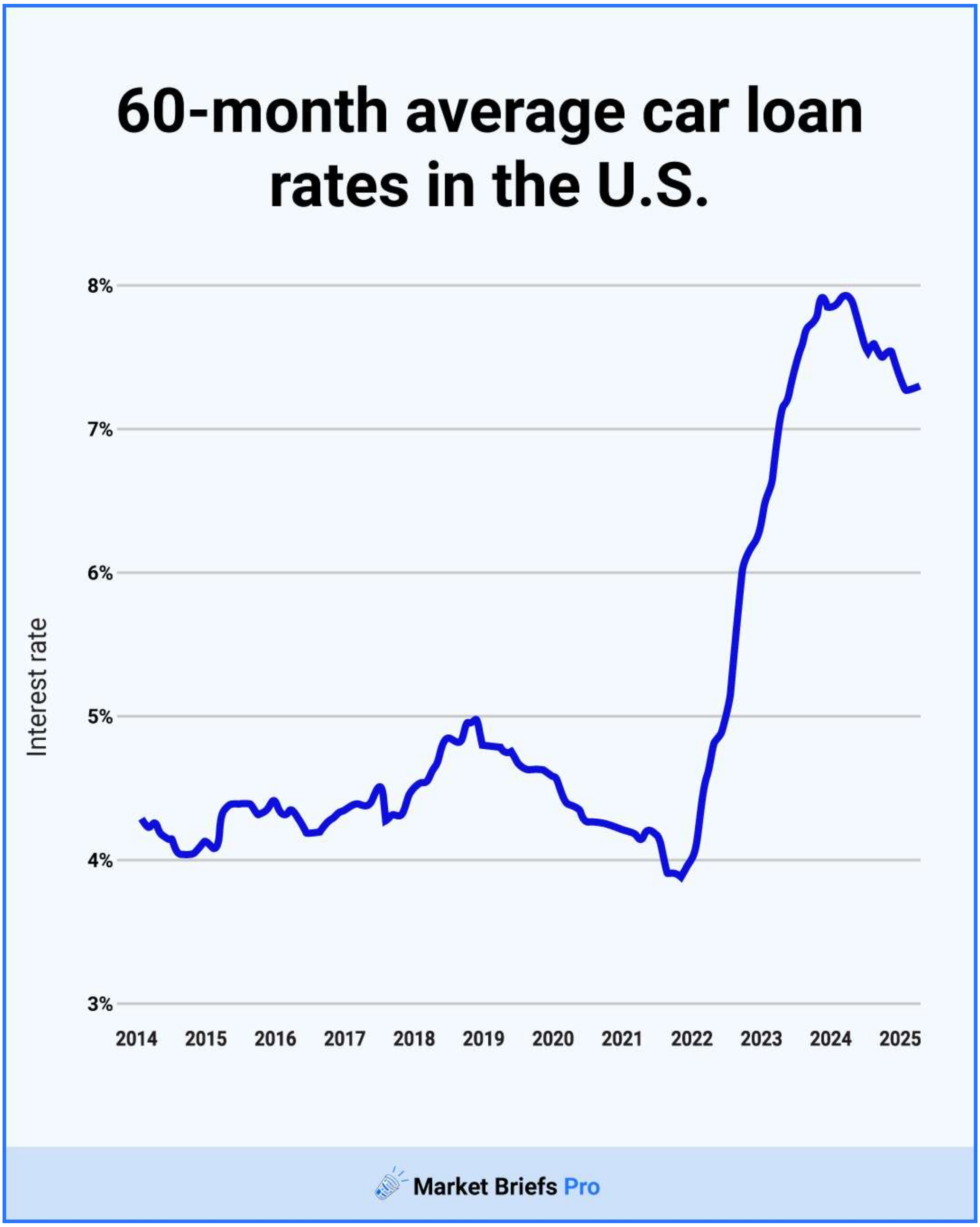
Lower interest rates could also rev the engines of the auto lending industry.

Why? Similar to homes, Fed interest rates influence auto rates in the U.S.

And lower rates could mean more Americans are able to purchase a new vehicle.

- Average interest rates for a 60-month car loan dropped to under 4% at one point in 2021, when interest rates were near zero percent from the Fed.

That was the lowest auto loan rates had been since before 2014.



Data via Statista

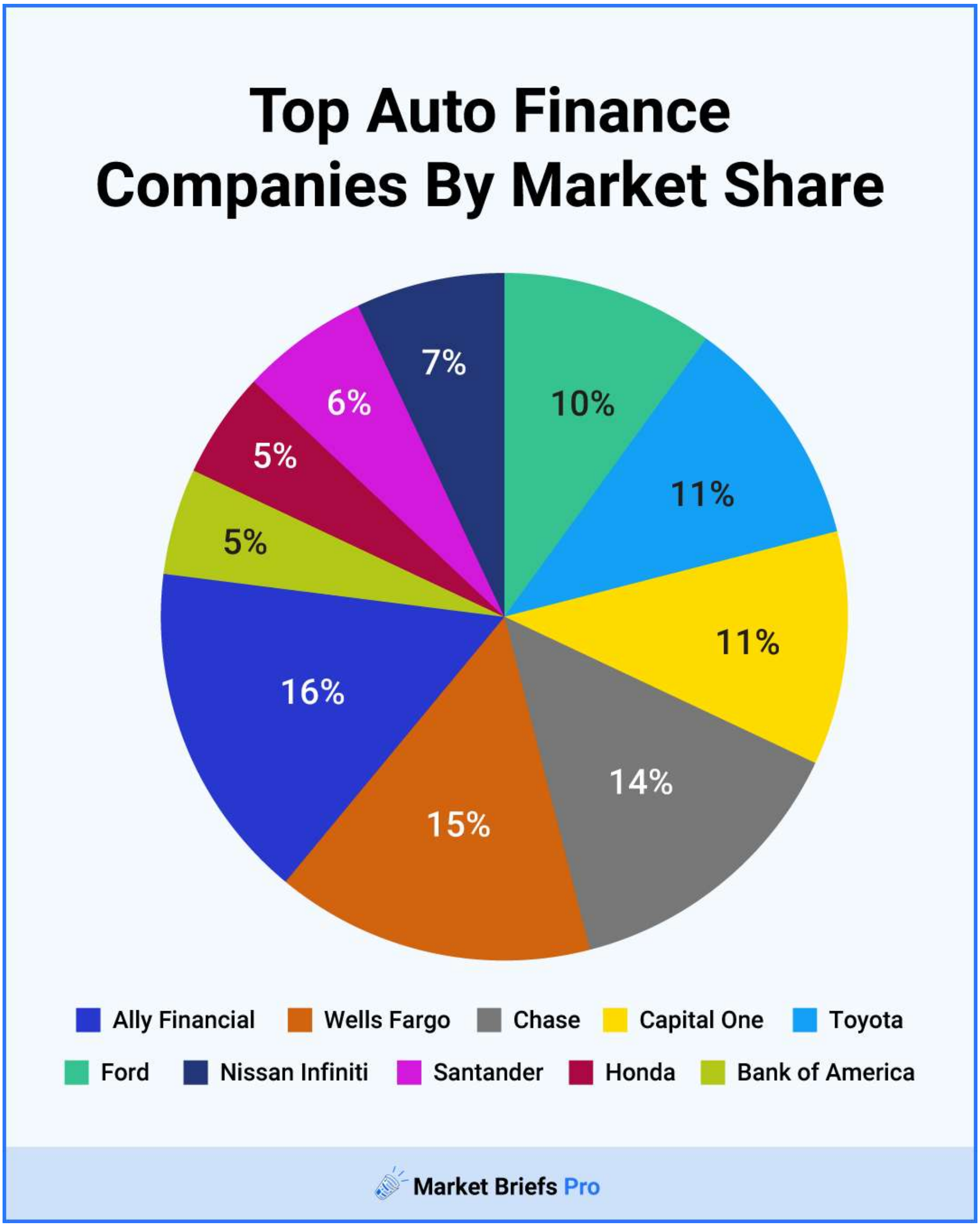
As a result, prices for new and used vehicles rose due to the demand, along with the average car payment.

Generally speaking, vehicle prices are up year-over-year, while sales are are down, all since the Fed began raising rates again.

But with the Fed potentially lowering rates again soon, demand could reignite, creating opportunities for auto lenders.

One of the largest auto lenders by loan volume in the U.S. is Ally Financial (ALLY).

They are the third largest auto lender in the country, trailing only Toyota and GM.



Data via BizVibe Blog

The difference? Toyota and GM are auto companies that have their own in-house lending arms. Ally is a commercial bank that operates nationwide.

Ally operates solely online, which means just like Rocket, it has no physical locations.

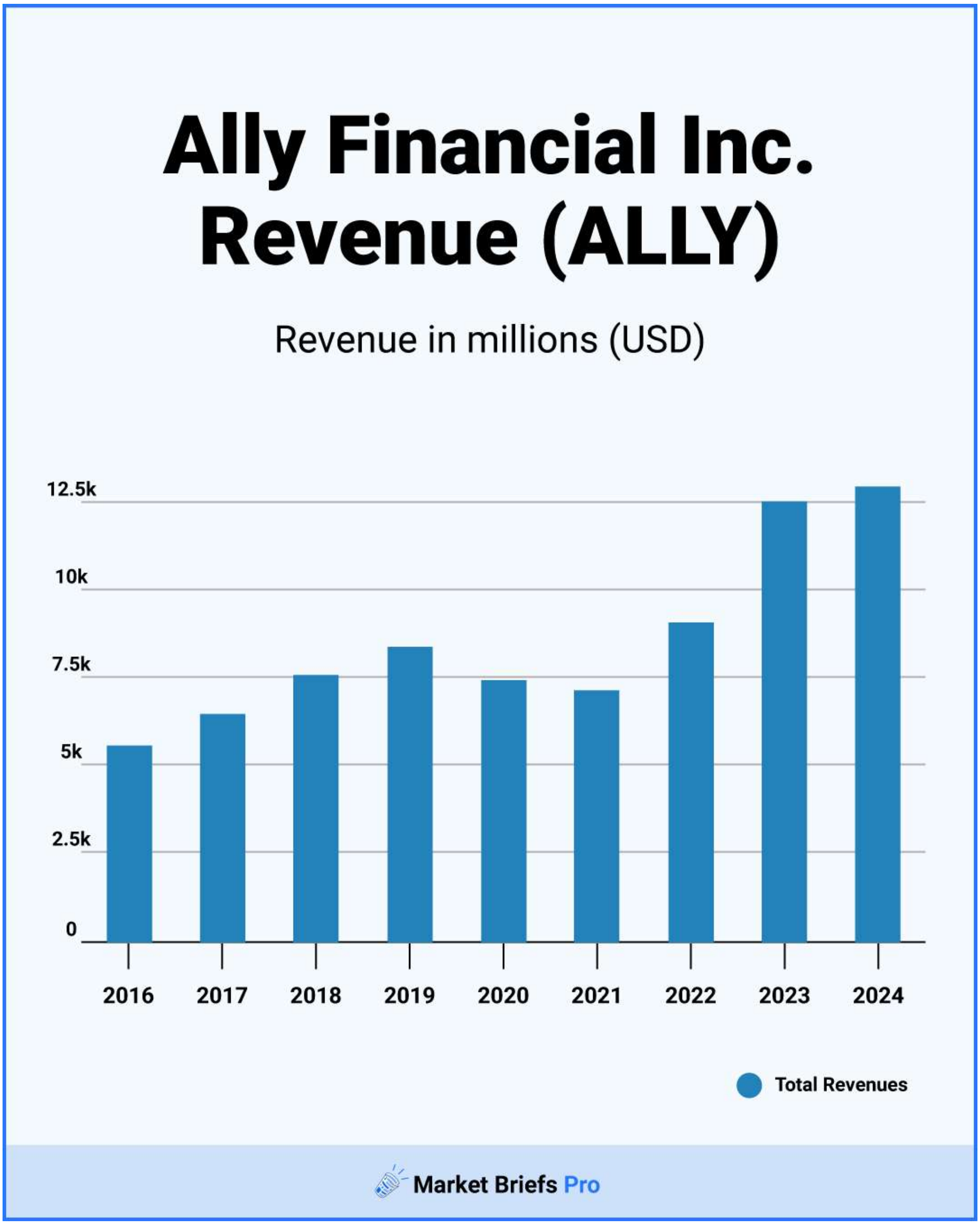
That helps keep costs low for Ally - but the real opportunity comes from how Ally handles risk.

As of the middle of 2025, 42% of those seeking an auto loan with Ally qualified as a prime or super prime borrower.

- A prime borrower is someone with a credit score of 660 and a super prime borrower is anyone with a credit score above 720 and above.

These are individuals with a strong credit history, and the idea is that they would be less likely to default on their loan payments.

While the company still does loan to subprime borrowers (anything below a 660 credit score), its leadership indicated it is shifting its focus to prime borrowers as a priority in the future back in 2024.



Data via company 10-K

From a business perspective, this allows Ally to earn more consistent interest income, so long as the borrowers pay on time.

GM and Toyota also have a large number of prime borrowers, but the difference between them and Ally is how their businesses are set up.

Those two are auto companies first, so if interest rates drop, they may benefit. But when they rise again in the future, the main part of their business, auto sales, will also fall.

- That's because the auto industry is cyclical - rising and falling with our economy.

Ally also phased out its mortgage business as of this year, allowing it to spend more of its time and resources on auto loans exclusively.

This may sound like the company is shrinking - but instead of mortgages, it's now focusing on credit cards and auto lending.

- Credit card spending may also increase as interest rates fall.

Data via Yahoo! Finance

Because of this diversification, Ally is set to benefit if interest rates fall, but is also able to protect itself if rates rise in the future, due to consistent interest rate income.

INVESTMENT BANKING

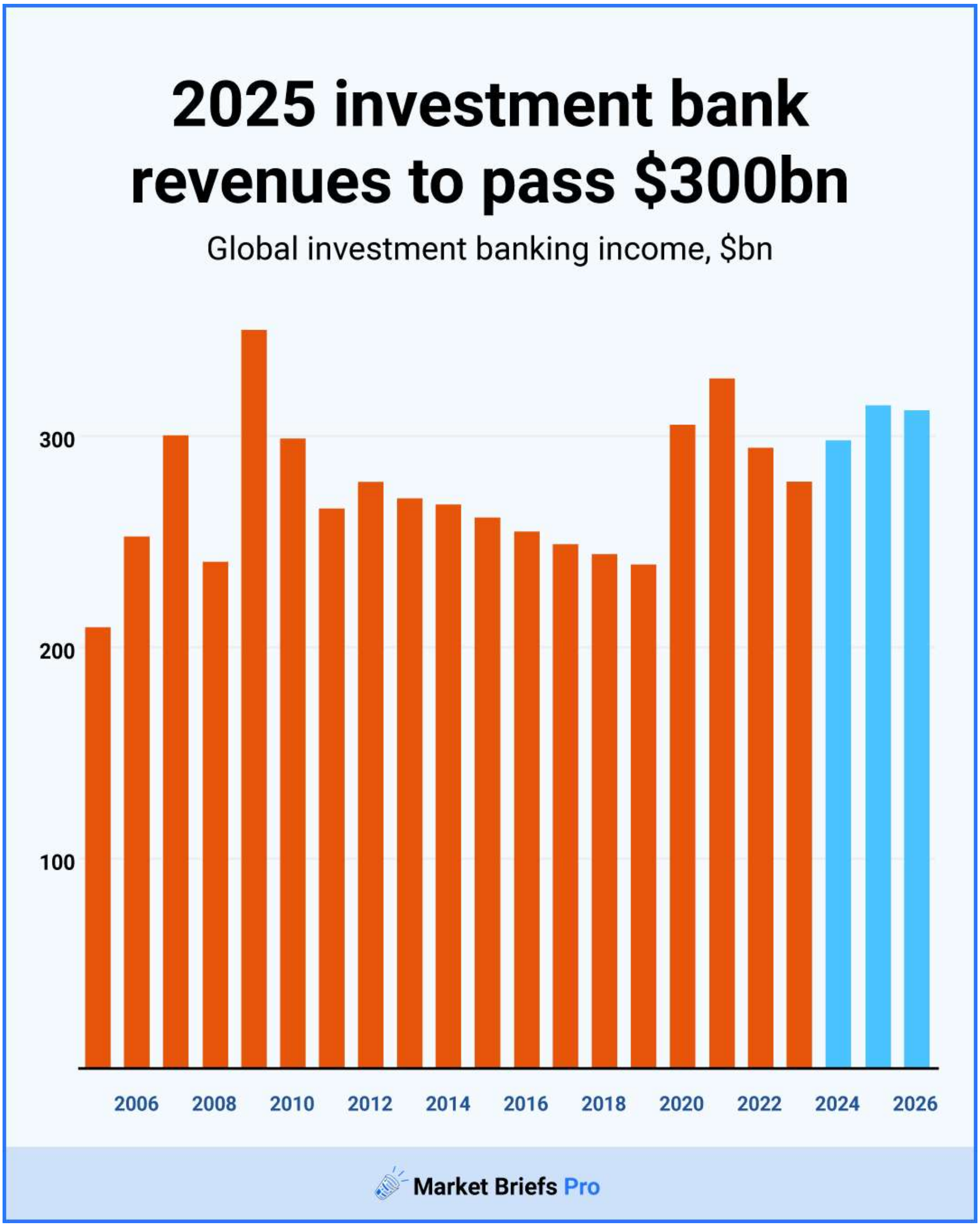
More Trading = More Revenue

There's one company that will benefit from all of the above if interest rates drop though: JPMorgan Chase (JPM).

That's because JPMorgan does it all - they are among the top mortgage and auto lenders in the country, and also have a strong credit card customer base.

Not to mention, it is the largest bank in the U.S. by total assets.

But JPMorgan also offers another unique opportunity that sets it apart from Rocket and Ally - investment banking.



Data via Coalition

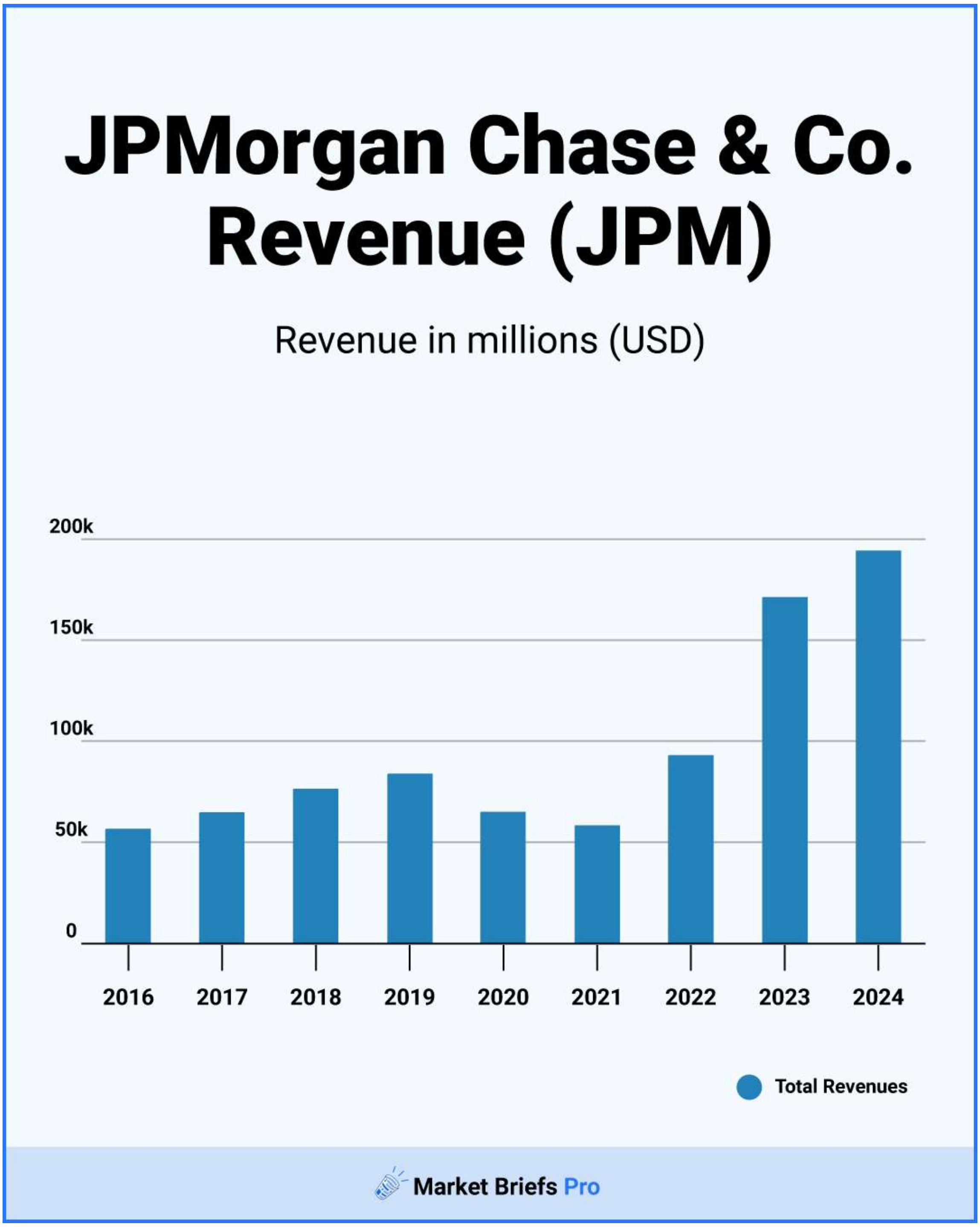
What's the point? Remember when we talked about inflation before? Well, markets benefit from inflation.

When inflation rises, that means prices go up - that means things cost more at the store. When things cost more, consumers have to spend more to buy the same things they were before.

And when more money is spent, earnings rise, which typically increases stock prices.

Investors then benefit as stock prices usually rise faster than inflation.

JPMorgan benefits especially from this, as increased trading on Wall Street leads to more fees it's able to collect.



Data via company 10-K

Let's take a look at a historical example - in 2021, Fed interest rates were near zero percent.

The S&P 500 grew by around 24% that year, signifying increased trading from investors. That same year, JPMorgan’s investment banking business had a record-breaking year.

- The fees it collected from its investment banking division were two times higher than the previous decade's average.

It was also the best ever year for investment banking for JPMorgan, with trading revenue increasing by 41% year-over-year.

That same year, JPMorgan became the first-ever bank to own a securities company in China, further diversifying its global portfolio.

Back to today - JPMorgan is in a strong position to benefit from trading volumes increasing if interest rates drop.

Data via Yahoo! Finance

- In September 2025, JPMorgan announced that it was expecting its Q3 investment banking business to grow by at least 10%.

Over 30% of JPMorgan's business is generated from investment banking and asset and wealth management as well, so as rates lower, their business will most likely grow.

Lastly, lower rates could also lead to an increase in mergers and acquisitions, as businesses have more capital.

The bank earned over $2.5 billion by helping businesses merge and acquire other businesses in 2021, when interest rates were low.

And while this part of its business struggled in 2024, mainly due to higher interest rates, more deals like this could mean more revenue for JPMorgan.

A potential investment banking boom and an already dominant retail segment for mortgages, auto loans, and credit cards, give it a huge potential to benefit from this shift.

RISKS

The Risks With Rates

The biggest risk to investors considering investing in this shift is interest rate risk.

Simply put - this is a short-term shift. Interest rates will go up in the future and that will put pressure on lending markets and capital markets.

We also do not know how low interest rates may fall in the future - the Fed lowered its rates to nearly zero percent in response to the pandemic recession.

There’s no guarantee that rates will go that low in the near future, which may lead to limited gains for companies.

We also have to consider that the market is operating efficiently right now, meaning that asset prices today are already reflecting interest rate cuts in the future.

- Mortgage and auto rates of today may already be reflecting potential rate cuts as well.

In our interview with Kara Ng, she agreed that this was the case,

"If the markets are already pricing [cuts] in, then mortgage rates probably won't change significantly."

If that’s the case, there’s a chance we may not see a large increase in share prices or in the lending markets in terms of demand for loans.

REVIEW

The Fed's Next Move...

This shift can be summarized by one phrase: Lower rates = more spending.

Companies in the lending and banking space are uniquely positioned to benefit from this shift directly.

However, no one knows for sure if the Fed will lower interest rates, or by how much.

And while that limits the potential of this shift to be more focused on the short term, there are still opportunities for investors to benefit in the long term.

- Briefs Pro Team

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